Yakledger Payroll Module

Finalized Decisions & Immediate Actions

Purpose: Consolidated record of the finalized payroll decisions and the immediate implementation actions resulting from the payroll decision questionnaire. This document is intended as the working baseline for the next implementation phase.

1. Finalized Decisions

Payroll Adjustments & Over/Underpayments

- Previous overpayment is shown as a separate Previous Overpayment Adjustment deduction.
- Previous underpayment is shown as a separate Previous Underpayment Adjustment earning.
- Every adjustment requires a reason.
- HR can manually create payroll adjustments unrelated to advances.
- If deductions/debt exceed earned salary, HR decides how the negative payable is handled.
- If employee debt is larger than salary, HR can pay any amount.

Loans

- Loan repayment schedule is optional.
- Loan repayments auto-deduct by default, but HR can override.
- If a loan deduction exceeds the remaining loan balance, HR decides how to handle it.
- If a loan deduction cannot be fully taken because salary is insufficient, HR decides how to handle the remainder.

Employee-Paid Expenses & Reimbursements

- An employee-paid company expense immediately creates a company liability.
- Reimbursement is always separate from salary.
- Reimbursement requires approval before payment.

Salary Payments

- Each partial salary payment is a separate transaction.
- Partially paid payroll uses status PARTIALLY_PAID and shows the remaining amount.
- One payroll can have payments using different payment methods.
- Salary payment evidence is optional.
- Payroll approval and payment are separate actions.

Payroll Editing & Correction

- HR can edit payroll until payment begins.
- Approved unpaid payroll can be corrected by reverting to Draft, editing, and approving again.
- Partially paid payroll can be reverted/modified while preserving the financial history of existing payments.
- Accounting corrections are handled by reversing the original accounting entry and creating the corrected entry.

Accounting

- Accounting entry is created when payroll is approved.
- Payment accounting entry is created automatically when payment is posted.

- Corrections use reversal + corrected accounting entries rather than silently changing historical accounting.

Employee Financial Statement

- Provide a dedicated employee financial statement.
- The statement includes all employee financial activity, including transfers and corrections.
- Show the net balance plus detailed debit and credit totals.

Project Salary Allocation

- Project allocation supports both percentage and fixed AFN amounts.
- The system automatically normalizes project allocation if the entered allocation is not 100%.

Attendance & Hiring/Termination

- Approved attendance changes before payroll approval automatically recalculate payroll.
- Attendance changes after payroll is paid are ignored for that historical payroll.
- Mid-period hire salary starts from the employee hire date.
- Salary stops on the employee termination date.
- Final settlement is implemented as a special payroll type.

Reporting & Dashboard

- Employee report includes salary, payments, advances, loans, deductions, and balance.
- Payroll reports filter by employee only.
- Dashboard shows outstanding unpaid salary liability.

Audit Trail & Administration

- Every payroll change records who changed it and when.
- Old values are retained only for Admin changes.
- Admin can delete anything.

2. Immediate Implementation Actions

1. Advance allocation

Change advance deduction allocation from FIFO to largest outstanding advance first. HR enters one total deduction amount; the system distributes it automatically across outstanding advances.

2. Advance due dates

Add a due date to each employee advance and show overdue warnings to HR/Payroll Manager. Do not automatically deduct or convert an overdue advance.

3. Paid advance editing

Paid advances cannot be deleted, but authorized users may edit them. Authorized roles: Admin, Payroll Manager, and Finance users with advance-payment permission.

4. Advance/payroll recalculation

If a paid advance is edited after payroll deductions have already occurred, automatically recalculate affected payrolls. If an affected payroll is already paid, preserve the historical paid payroll and create an adjustment for a future payroll.

5. Payment methods

When an advance is marked paid, record the payment method: Cash, Bank Transfer, or Company Wallet. Paid advances should also create the corresponding company financial transaction automatically.

6. Salary payment workflow

Separate payroll approval from salary payment. Support multiple partial payments, each as a separate transaction, including different payment methods on the same payroll.

7. Reimbursements

Keep employee-paid company expenses and reimbursements outside salary payroll. Require reimbursement approval before payment and maintain the reimbursement in the employee financial history.

8. Payroll statuses

Use the finalized lifecycle: DRAFT → APPROVED → PARTIALLY_PAID → PAID, with NEEDS_RECALCULATION and CANCELLED available where applicable.

9. Accounting integration

Post salary accounting on payroll approval and payment accounting on actual payment. Corrections must reverse the original entry and create a corrected entry.

10. Employee statement

Implement a dedicated employee financial statement covering salary, payments, advances, loans, deductions, transfers, reimbursements, and corrections, with net balance and debit/credit totals.

11. Project allocation

Allow HR to allocate salary cost using percentage or fixed AFN amounts and normalize the final allocation to 100% when necessary.

12. Final settlement

Create a dedicated final-settlement payroll type that starts salary from the hire date and stops it on termination date.

13. Audit trail

Record the user and timestamp for every payroll change. Preserve detailed old values for Admin changes according to the finalized rule.

14. Admin controls

Implement Admin-level deletion capability while preserving accounting/audit integrity and avoiding silent destruction of posted financial history.

3. Key Existing-Implementation Conflicts to Update

- Current advance allocation is FIFO; replace it with largest-outstanding-first allocation.
- Current payroll approval flow includes an Approve & Pay action; separate approval and payment into distinct actions.
- Current approved payroll behavior is more restrictive; the finalized decision allows HR to edit until payment begins and allows correction of partially paid payrolls with financial-history preservation.
- Current deletion behavior is draft-only; the finalized decision gives Admin deletion authority, but accounting/audit integrity must still be preserved.
- Current payroll/ledger logic should be aligned with separate reimbursement, loan, advance, adjustment, and salary-payment transactions.
- Accounting corrections must be implemented as reversals plus corrected entries.

4. Implementation Guardrails

- Do not silently overwrite historical paid financial transactions.
- Keep original advance transactions and unselected outstanding balances visible after allocation.
- Treat paid-advance editing as a specific exception; do not generalize it into unrestricted editing of all posted employee-ledger transactions.
- Preserve the distinction between salary, advance, loan, reimbursement/company liability, deduction, bonus, and allowance.
- Any future correction to a paid historical payroll should be represented through an auditable adjustment rather than silently rewriting the historical result.

Document status: Finalized decision baseline for implementation. This document records the selected decisions and immediate actions; it is not a replacement for the full technical specification or source-code migration plan.